

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **TCI made \$18.9 billion** for clients last year, making it the most profitable hedge-fund firm in 2025, according to an estimate from Edmond de Rothschild. **A1**
- ◆ **A surge in exports** powered China's growth last year, defying expectations that a trade war with the U.S. would hobble the world's second-biggest economy. **A6**
- ◆ **U.S. stock futures** and European shares fell, while gold and silver rose to records after Trump said he would place tariffs on European countries opposed to his designs on Greenland. **B9**
- ◆ **The NYSE said** it would seek regulatory approval for a platform it is developing for trading tokenized securities. **B1**
- ◆ **Elliott reiterated** its opposition to a revised tender offer for Toyota Industries, saying the deal undervalues the forklift maker and a stand-alone plan is preferable. **B3**
- ◆ **TSMC is charting** a future beyond Taiwan, with plans to build new chip-fabrication plants in Arizona that would bring its presence in the state to about a dozen factories. **A3**
- ◆ **Micron plans to buy** a Taiwanese chip-making site for \$1.8 billion as the company looks to meet heavy demand for memory storage. **B4**
- ◆ **Texas rare-earth magnet** maker Noveon Magnetics raised \$215 million from investors as the U.S. pushes to develop domestic sources of the strategic metals. **B4**
- ◆ **Shares of Bayer rose** after the U.S. Supreme Court agreed to hear its challenge to litigation that claims its Roundup weedkiller causes cancer. **B2**

Worldwide

- ◆ **Denmark dispatched** more troops to Greenland as Trump told Norway that he no longer needed to think "purely of peace" after he failed to win the Nobel Peace Prize last year. **A1, A8**
- ◆ **About 1,500 active-duty** soldiers have been placed on alert for a potential deployment to Minnesota in response to widespread protests over immigration enforcement in the state. **A3**
- ◆ **Half of U.S. voters say** the remaking of vaccine policy has gone too far and left them less confident in the government's guidance, a Wall Street Journal poll found. **A4**
- ◆ **Americans are split** on Trump's operation that ousted Maduro in Venezuela and have grown more negative on the president's overall handling of foreign policy. **A4**
- ◆ **Two cargoes destined** for Iran and China that left port on Jan. 1 and Jan. 2, respectively, appear to be the last illicit oil to leave Venezuela, according to a shipping-intelligence report. **A10**
- ◆ **China's population shrank** for a fourth consecutive year as its birthrate fell to a record low, posing a threat to the country's long-term economic health. **A6**
- ◆ **Trump expanded** the mission of his proposed Gaza Board of Peace into a global body that would assume the U.N.'s role in mediating conflicts. **A6**
- ◆ **A Russian court** convicted and sentenced a U.S. citizen on charges of illegally transporting weapons, court officials said, after a rifle was found on his yacht in June. **A10**
- ◆ **Died: Valentino Garavani**, 93, famed Italian designer. **B1**

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Hoosiers Win First Football Title



UNDEFEATED: Indiana University survived a powerful comeback to beat the Miami Hurricanes 27-21 in Miami Monday night. The Hoosiers were led by Heisman Trophy winner Fernando Mendoza, their quarterback, No. 15. For Indiana, the win completed a 16-0 fairy-tale season. **A18**

TCI's Haul of \$18.9 Billion Marks Hedge Fund Record

By Caitlin McCabe

Stock pickers enjoyed a banner year in 2025. Just ask hedge-fund billionaire Chris Hohn. The British investor's TCI Fund Management made \$18.9 billion for clients last year, making it the most-profitable hedge-fund firm in 2025. That is according to new estimates from Swiss investment firm Edmond de Rothschild, which compiles an annual list of the world's top

money managers based on their gains after fees in dollar terms. TCI's haul was the biggest annual dollar gain made by a hedge-fund firm in Edmond de Rothschild's records, the report said, topping the previous \$16 billion record from Citadel in 2022. It also trounces the reported \$15 billion bounty that John Paulson scored in 2007 wagering against the housing market. The figures aren't adjusted for inflation. Geopolitical uncertainty

turned last year into a stock picker's market, with trade wars and real wars unfolding across the globe. An artificial-intelligence boom through most of the year—and subsequent concerns about a bubble—also provided fertile ground for investors who bet on stocks. Stock-picking firms like Steve Mandel's Lone Pine Capital and John Armitage's Egeron Capital were among those that benefited from the favorable backdrop, the Edmond de

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Mag Seven Technology Stocks Go In Separate Directions

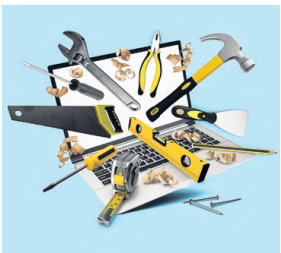
By Hannah Erin Lang

The Magnificent Seven is now the Mag Five. Or is it the Fab Four? Investors are no longer grouping the market's big tech stocks together in quite the same way. The fortunes of what was once Wall Street's favorite band of megacap names have diverged in the past year, as professional and ordinary investors alike take a more cautious view of the artificial-intelligence spending boom. Only Alphabet and Nvidia outperformed the S&P 500 in 2025. And so far this year, five Mag Seven stocks are faring worse than the broader benchmarks. Money managers say the moniker—which also includes Microsoft, Meta Platforms, Apple, Amazon.com and Tesla—is no longer synonymous with stock-market stardom. "The correlation has fallen apart," said David Bahnsen, chief investment officer at Bahnsen Group. "What they have in common is being trillion-dollar companies." It is a sign that the AI trade has evolved since the raging bull market began, with traders now placing their bets

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◆ **Tim Higgins: Tech world says** get rich now, or else..... **B6**

INSIDE



PERSONAL JOURNAL

White-collar workers shouldn't dismiss a blue-collar career shift. **A12**

WORLD NEWS

Spain promises an investigation after a rail collision that killed at least 39. **A10**

A Wall Street Legend and His Penthouse Sex Dungeon

Howard Rubin rose, fell and rose again as a star trader; now he stands accused of trafficking and abusing women

By Erich Schwartzel

NEW YORK—The penthouse atop the Metropolitan Tower on West 57th Street offers proximity to Central Park and has two bedrooms. In the summer of 2012, prosecutors say, one of those bedrooms was soundproofed. It was painted red and outfitted with an inventory of ropes, whips and sex toys labeled A to Z. A "St. Andrew's cross," an X-shaped contraption named for the martyred apostle, was equipped with four cuffs—two for the ankles, and two for the wrists. The equipment was assembled for Wall Street legend Howard Rubin, the discreet

renter of the penthouse—and for years, prosecutors allege, he lured women into what he called his sex "dungeon," where he abused and tortured them high above the Manhattan skyline. "I want to hurt her," Rubin texted about a woman who would be joining him at the penthouse, according to court documents. "I don't care if she screams." He then added an emoji of a laughing face. For much of his life, and for much of his day, Rubin was a mythic figure of business, famous and infamous for rising, falling and rising again as a star trader on 1980s Wall Street. In a career that began at Salomon

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Valentino Dies at Age 93



FAREWELL: The go-to designer for the rich, famous, powerful and glamorous, Valentino Garavani was one of the most dominant figures in the world of high fashion. **B1**